EXHIBIT 1

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF NET POSITION
SEPTEMBER 30, 2022

	Primary Government			Discretely Presented Component Unit
	Governmental Activities	Business-type Activities	Total	
ASSETS				
Cash (Note 2)	$ 1,098,260	$ 4,450,804	$ 5,549,064	$ 35,606
Certificates of Deposit & Investments (Note 2)	3,191,099	3,781,546	6,972,645	-
Receivables, net	49,424	1,271,830	1,321,254	-
Inventories	10,758	960,928	971,686	-
Note receivable (Note 3)	310,995		310,995	-
Internal balances	(380,000)	380,000	-	-
Restricted Assets:				
Bond Reserve (Note 2)		637,784	637,784	
Depreciation fund (Note 2)		2,444,845	2,444,845	-
Customer deposits (Note 2)		911,221	911,221	-
Capital improvement fund (Note 2)		334,724	334,724	-
Capital assets: (Note 4)			-	
Land and Work in Progress	701,274	906,236	1,607,510	-
Building and improvements, net	2,758,685	2,063,522	4,822,207	-
Infrastructure, equipment and vehicles, net	6,256,881	30,303,375	36,560,256	-
Total capital assets	9,716,840	33,273,133	42,989,973	-
Total assets	$ 13,997,376	$ 48,446,815	$ 62,444,191	$ 35,606
LIABILITIES				
Accounts payable	$ 429,632	$ 589,866	$ 1,019,498	$ 1,277
Accrued interest	-	83,928	83,928	-
Salaries and benefits payable	166,900	152,854	319,754	-
Customer deposits	-	367,896	367,896	-
Deferred revenue	-	139,850	139,850	-
Noncurrent Liabilities: (Note 6)				
Due within one year	-	730,000	730,000	-
Due in more than one year	-	10,635,000	10,635,000	-
Total Liabilities	596,532	12,699,394	13,295,926	1,277
NET POSITION				
Net investment in Capital Asset	$ 9,716,840	$ 21,908,133	31,624,973	$ -
Restricted	-	4,430,061	4,430,061	-
Unrestricted	3,684,004	9,409,227	13,093,231	34,329
Total Net Position	$ 13,400,844	$ 35,747,421	$ 49,148,265	$ 34,329

The notes to financial statements are an integral part of this statement.

EXHIBIT 2

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED SEPTEMBER 30, 2022

Function/Programs	Expenses	Program Revenues: Fees, Fines, and Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net (Expense), Revenue, and Changes in Net Position: Primary Government: Governmental Activities	Primary Government: Business Type Activities	Primary Government: Total	Discretely Presented Component Unit
Primary Government:								
Governmental activities:								
General government	$ 525,074	$ 239,894	$ 12,478	$ -	$ (272,702)	$ -	$ (272,702)	$ -
Public safety	1,274,330	1,220			(1,273,110)	-	(1,273,110)	-
Street and alleys	737,318	-	-	-	(737,318)	-	(737,318)	-
Culture and recreation	1,056,856	65,366	-	-	(991,490)	-	(991,490)	-
Cemetery	112,072	12,600		-	(99,472)	-	(99,472)	-
Airport	309,314		-	-	(309,314)	-	(309,314)	-
HUD programs	23,912	-	-	-	(23,912)	-	(23,912)	-
Community development	939,800	-	-	-	(939,800)	-	(939,800)	-
Total governmental activities	4,978,676	319,080	12,478	-	(4,647,118)	-	(4,647,118)	-
Business-type activities:								
Electric	5,474,277	6,313,754	-	-	-	839,477	839,477	-
Water	1,031,808	1,408,870	-	-	-	377,062	377,062	-
Gas	3,162,278	2,944,442	-	-	-	(217,836)	(217,836)	-
Sewer	1,214,525	1,150,011	-	-	-	(64,514)	(64,514)	-
Total business-type activities	10,882,888	11,817,077	-	-	-	934,189	934,189	-
Total Primary Government	15,861,564	12,136,157	12,478	-	(4,647,118)	934,189	(3,712,929)	-
Component Unit								
Main Street	$ 39,894	$ 30,275	$ -	$ -	$ -	$ -	$ -	$ (9,619)
General Revenues:								
Property and city taxes, levied for general purposes					2,863,571	-	2,863,571	-
Grants/Intergovernmental not restricted to specific programs					1,705,759	-	1,705,759	-
Interest dividends and earnings on investments					-	16,718	16,718	-
Miscellaneous revenue (Expense)					54,876	324,379	379,255	-
Interest Expense					4,958	(141,329)	(136,371)	-
Total general revenues					4,629,164	199,768	4,828,932	-
Change in net position					(17,954)	1,133,957	1,116,003	(9,619)
Net position - Beginning, as adjusted					13,418,798	34,613,464	48,032,262	43,948
Net position - ending					$ 13,400,844	$ 35,747,421	$ 49,148,265	$ 34,329

The notes to financial statements are an integral part of this statement.

EXHIBIT 3

CITY OF FALLS CITY, NEBRASKA
BALANCE SHEET
GOVERNMENTAL FUNDS
30-Sep-22

	General Fund	Economic Development Fund	HUD Fund	Capital Improvement Fund	CDBG	Other Governmental Funds	Total Governmental Funds
ASSETS							
Cash (Note 2)	$ 1,395,698	$ -	$ -	$ -	-	$ -	$ 1,395,698
Certificates of Deposit & Investments (Note 2)	738,454	151,592	23,077	1,724,925	-	546,405	3,184,453
Notes receivable (Note 3)	-	-	10,995	300,000	-	-	310,995
Inventory	4,908	-	-	-	-	-	4,908
Total assets	2,139,060	151,592	34,072	2,024,925	-	546,405	4,896,054
LIABILITIES AND FUND BALANCES							
Liabilities:							
Accounts payable	425,593	-	4,038	-	-	-	429,631
Salaries and benefits payable	166,901	-	-	-	-	-	166,901
Total liabilities	592,494	-	4,038	-	-	-	596,532
Fund balances:							
Nonspendable	4,908	-	-	-	-	-	4,908
Restricted	-	-	-	-	-	372,837	372,837
Committed	-	-	10,995	300,000	-	173,568	484,563
Assigned	-	151,592	19,039	1,724,925	-	-	1,895,556
Unassigned	1,541,658	-	-	-	-	-	1,541,658
Total fund balances	1,546,566	151,592	30,034	2,024,925	-	546,405	4,299,522
Total liabilities and fund balances	$ 2,139,060	$ 151,592	$ 34,072	$ 2,024,925	-	$ 546,405	$ 4,896,054

The notes to financial statements are an integral part of this statement.

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES
IN FUND BALANCES – GOVERNMENTAL FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2022

	General Fund	Economic Development Fund	HUD Fund	Capital Improve-ment	CDBG	Other Governmental Funds	Total Governmental Funds
Revenues							
Taxes	$ 1,870,151	$ -	$ -	$ 993,420	-	$ -	$ 2,863,571
Intergovernmental/Grants	1,703,741	-	-	-	2,018	-	1,705,759
Licenses and permits	34,059	-	-	-	-	-	34,059
Rent/Leases	106,282	-	-	-	-	-	106,282
Charges for services	211,535	-	-	-	-	12,277	223,812
Fines and forfeits	2,910	-	-	-	-	-	2,910
Sale of supplies/property	6,457	-	-	-	-	-	6,457
Contributions	12,479	-	-	-	-	-	12,479
Miscellaneous	50,474	-	-	-	-	-	50,474
Total revenues	3,998,088	-	-	993,420	2,018	12,277	5,005,803
Expenditures							
Current:							
General government	332,684	-	-	-	-	-	332,684
Public safety	1,198,950	-	-	-	-	-	1,198,950
Streets and alleys	637,253	-	-	-	-	-	637,253
Cultural and recreation	818,400	-	-	-	-	-	818,400
Cemetery	108,176	-	-	-	-	-	108,176
Airport	86,608	-	-	-	-	-	86,608
HUD programs	-	-	23,912	-	-	-	23,912
Community development	433,276	-	-	379,635	17,683	-	830,594
Debt Service:							
Principal	-	-	-	342,000	-	-	342,000
Interest	-	-	-	-	-	-	-
Capital outlay	210,189	-	-	58,606	-	-	268,795
Total expenditures	3,825,536	-	23,912	780,241	17,683	-	4,647,372
Excess of revenues over (under) expenditures	172,552	-	(23,912)	213,179	(15,665)	12,277	358,431
Other Financing Sources							
Interest/Dividends	2,350	167	4	1,692	-	745	4,958
Transfer in	-	-	-	-	15,665	-	15,665
Transfer out	-	-	-	-	-	-	-
Total Other Financing Sources	2,350	167	4	1,692	15,665	745	20,623
Net change in fund balance	174,902	167	(23,908)	214,871	-	13,022	379,054
Fund balances - beginning	1,371,664	151,425	53,942	1,810,054	-	533,383	3,920,468
Fund balances - ending	$ 1,546,566	$ 151,592	$ 30,034	$ 2,024,925	-	$ 546,405	$ 4,299,522

The notes to financial statements are an integral part of this statement.

EXHIBIT 5

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
30-Sep-22

	Business Type Activities - Enterprise Funds					Governmental Activities- Internal Service Fund
	Electric Fund	Water Fund	Gas Fund	Sewer Fund	Totals	
ASSETS						
Current Assets:						
Cash (Note 2)	$ 1,401,650	$ 1,785,725	$ 855,444	$ 407,985	$ 4,450,804	(297,438)
Investments (Note 2)	936,727	72,792	2,620,378	151,649	3,781,546	6,646
Receivables, net	819,628	192,320	123,334	136,548	1,271,830	17,813
Inventory	685,170	101,487	174,271	-	960,928	5,850
Interfund receivable (Note 5)	380,000	-	-	-	380,000	-
Total Current Assets	4,223,175	2,152,324	3,773,427	696,182	10,845,108	(267,129)
Noncurrent Assets:						
Restricted Assets						
Bond Reserve (Note 2)	637,784	-	-	-	637,784	-
Depreciation fund (Note 2)	942,450	-	1,158,435	343,960	2,444,845	-
Capital improvement fund (Note 2)	329,575	-	28,096	553,550	911,221	-
Customer deposits (Note 2)	108,985	64,687	161,052	-	334,724	-
Capital assets: (Note 4)						
Land & Work In Progress	135,827	553,748	-	216,661	906,236	-
Building and improvement, net	109,268	1,820,159	-	134,095	2,063,522	-
Infrastructure, equipment and vehicles, net	19,113,134	6,455,913	1,539,406	3,194,922	30,303,375	851
Total Noncurrent Assets	21,377,023	8,894,507	2,886,989	4,443,188	37,601,707	851
Total Assets	$ 25,600,198	$ 11,046,831	$ 6,660,416	$ 5,139,370	$ 48,446,815	$ (266,278)
LIABILITIES						
Current Liabilities:						
Accounts Payable	$ 30,715	$ -	$ 43,974	$ 515,177	$ 589,866	$ -
Accrued Interest	61,631	20,119	-	2,178	83,928	-
Salaries and benefits payable	55,276	38,968	40,044	18,566	152,854	6,982
Deferred revenue	166,361	-	(11,346)	(15,165)	139,850	-
Interfund payables (Note 5)	-	-	-	-	-	380,000
Customer deposits	108,986	97,858	161,052	-	367,896	-
Current portion of long-term debt	410,000	200,000	-	120,000	730,000	-
Total Current Liabilities	832,969	356,945	233,724	640,756	2,064,394	386,982
Long-term debt, net of current portion (Note 6)	7,715,000	2,675,000	-	245,000	10,635,000	-
Total Liabilities	8,547,969	3,031,945	233,724	885,756	12,699,394	386,982
NET POSITION (deficit)						
Net Investment in capital assets	10,388,134	5,959,820	1,539,406	2,944,501	20,831,861	-
Restricted	2,018,794	166,174	1,347,583	897,510	4,430,061	-
Unrestricted	4,645,301	1,888,892	3,539,703	411,603	10,485,499	(653,260)
Total net position (deficit)	$ 17,052,229	$ 8,014,886	$ 6,426,692	$ 4,253,614	$ 35,747,421	$ (653,260)

The notes to financial statements are an integral part of this statement.

EXHIBIT 6

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF REVENUES, EXPENSES,
AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2022

	Business Type Activities - Enterprise Funds					Governmental Activities-Internal Service Fund
	Electric Fund	Water Fund	Gas Fund	Sewer Fund	Totals	
Operating Revenues:						
Charge for services	$ 6,313,754	$ 1,408,870	$ 2,944,442	$ 1,150,011	$ 11,817,077	$ 46,527
Total Operating Revenues	6,313,754	1,408,870	2,944,442	1,150,011	11,817,077	46,527
Operating Expenses:						
General and administrative	838,656	228,490	745,970	988,235	2,801,351	60,996
Distribution	237,963	123,809	555,527	-	917,299	64,915
Depreciation	862,050	465,918	122,544	226,290	1,676,802	259
Production	3,535,608	213,591	1,738,237	-	5,487,436	-
Total Operating Expenses	5,474,277	1,031,808	3,162,278	1,214,525	10,882,888	126,170
Income (Loss) from Operations	839,477	377,062	(217,836)	(64,514)	934,189	(79,643)
Nonoperating Revenues (Expenses):						
Interest revenue	5,326	6	10,445	941	16,718	-
Interest expense / Other Income	(152,383)	1,007,091	(996,037)	-	(141,329)	-
Miscellaneous revenue (Expense)	151,687	172,692	-	-	324,379	-
Total Nonoperating Revenues (Expenses)	4,630	1,179,789	(985,592)	941	199,768	-
Change in net position	844,107	1,556,851	(1,203,428)	(63,573)	1,133,957	(79,643)
Total net position (deficit) - beginning	16,208,122	6,458,035	7,630,120	4,317,187	34,613,464	(573,617)
Total net position (deficit) - ending	$ 17,052,229	$ 8,014,886	$ 6,426,692	$ 4,253,614	$ 35,747,421	$ (653,260)

The notes to financial statements are an integral part of this statement

EXHIBIT 7

CITY OF FALLS CITY, NEBRASKA
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
FOR THE YEAR ENDED SEPTEMBER 30, 2022

	Business Type Activities - Enterprise Funds					Governmental Activities-Internal Service Fund
	Electric Fund	Water Fund	Gas Fund	Sewer Fund	Total	
CASH FLOWS FROM OPERATING ACTIVITIES:						
Cash received from customers	$ 6,382,256	$ 1,398,928	$ 2,956,910	$ 1,185,420	$ 11,923,514	$ 43,423
Cash payments for operating costs	(3,969,709)	(359,308)	(2,617,958)	(254,554)	$ (7,201,529)	(69,363)
Cash payments to employees	(890,470)	(375,420)	(578,240)	(258,240)	$ (2,102,370)	(69,151)
Net Cash Provided (Used) by Operating Activities	1,522,077	664,200	(239,288)	672,626	2,619,615	(95,091)
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:						
Proceeds/(Payments) from/to loans	-	-	-	(115,000)	(115,000)	-
Purchases and construction of capital assets	-	(358,228)	-	(121,177)	(479,405)	-
Interest and principal paid on capital debt	(667,382)	-	-	-	(667,382)	-
Net Cash Provided (Used) by Capital and Related Financing Activities	(667,382)	(358,228)	-	(236,177)	(1,261,787)	-
CASH FLOWS FROM INVESTING ACTIVITIES:						
Purchase of investments	-	-	(195,771)	-	(195,771)	-
Sale of investments	(469,061)	-	-	(137,864)	(606,925)	-
Interest and dividends / Grants	5,326	1,007,097	10,445	-	1,022,868	-
Net Cash Provided (Used) by Investing Activities	(463,735)	1,007,097	(185,326)	(137,864)	220,172	-
CASH FLOWS FROM NON -CAPITAL FINANCING ACTIVITIES:						
Cash received from operating and equity transfers	-	-	-	-	-	-
Net Increase (Decrease) in Cash	390,960	1,313,069	(424,614)	298,585	1,578,000	(95,091)
Cash at beginning of the year	1,010,690	472,656	1,280,058	109,400	2,872,804	(202,347)
Cash at end of the year	1,401,650	1,785,725	855,444	407,985	4,450,804	(297,438)
Reconciliation of operating income (loss) to net cash provided (used) by operating activities:						
Net operating income (loss)	839,477	377,062	(217,836)	(64,514)	934,189	(79,643)
Adjustments to reconcile operating income to net cash provided (used) by operating activities:						
Depreciation expense	862,050	465,918	122,544	226,290	1,676,802	259
(Increase) decrease in receivables	68,502	(9,942)	12,468	35,409	106,437	(3,104)
(Increase) decrease in inventory	11,738	(8,071)	(69,101)	-	(65,434)	(4,236)
Increase (decrease) accrued expense & other liabilities	(13,173)	1,147	989	503	(10,534)	-
Increase (decrease) in accounts payable	(246,517)	(161,914)	(88,352)	474,938	(21,845)	(8,367)
Net adjustments	682,600	287,138	(21,452)	737,140	1,685,426	(15,448)
Net cash provided (used) by operating activities	$ 1,522,077	$ 664,200	$ (239,288)	$ 672,626	$ 2,619,615	$ (95,091)

The notes to financial statements are an integral part of this statement.

CITY OF FALLS CITY, NEBRASKA
SCHEDULE OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCES - BUDGET AND ACTUAL - BUDGETARY BASIS
GENERAL FUND
FOR THE YEAR ENDED SEPTEMBER 30, 2022

	Budgeted Amounts		Actual Amounts	Budget to GAAP Differences	Actual Amounts
	Original	Final	Budgetary Basis	Over (Under)	GAAP Basis
Revenues:					
Property and city taxes	$ 2,323,529	$ 2,323,529	$ 2,863,571	$ -	$ 2,863,571
Fines and forfeits	2,869	2,869	2,910	-	2,910
Licenses, fees, and permits	26,122	26,122	34,059	-	34,059
Intergovernmental	1,701,913	1,701,913	1,705,759	-	1,705,759
Charges for services	168,500	168,500	219,410	-	219,410
Sale of property/supply	500	500	6,457	-	6,457
Interest/Dividends	1,450	1,450	4,958	-	4,958
Rent	61,640	61,640	106,282	-	106,282
Contributions	50	50	12,479	-	12,479
Miscellaneous	12,555	12,555	50,474	(65,704)	(15,230)
Total Revenues	4,299,128	4,299,128	5,006,359	(65,704)	4,940,655
Expenditures:					
General government	1,189,104	1,189,104	332,684	192,390	525,074
Public safety	1,852,768	1,852,768	1,409,139	(134,809)	1,274,330
Street and alley	1,659,430	1,659,430	637,253	100,065	737,318
Airport	377,481	377,481	86,608	222,706	309,314
Cemetery	103,950	103,950	108,176	3,896	112,072
Culture and recreation	817,353	817,353	818,400	238,456	1,056,856
Community development	3,632,519	3,632,519	1,255,112	(291,400)	963,712
Total Expenditures	9,632,605	9,632,605	4,647,372	331,304	4,978,676
Excess (deficiency) of revenues over expenditures	(5,333,477)	(5,333,477)	358,987	(397,008)	(38,021)
Other Financing Sources (Uses):					
Transfers in	-	-	20,067	-	20,067
Transfers out	-	-	-	-	-
Total other financing sources and uses	-	-	20,067	-	20,067
Net change in fund balance	(5,333,477)	(5,333,477)	379,054	(397,008)	(17,954)
Fund balances - beginning	5,333,477	5,333,477	3,920,468	261,864	4,182,332
Fund balances - ending	$ -	$ -	$ 4,299,522	$ (135,144)	$ 4,164,378

Explanation of differences: (1) The City budgets for claims and compensated absences only to the extent expected to be paid, rather than on the modified accrual basis. (2) The amount reported as "fund balance" on the budgetary basis of accounting derives from the basis of accounting used in preparing the City's budget. (See Note 1 for a description of the City's budgetary accounting method.) This amount differs from the fund balance reported in the statement of revenues, expenditures, and changes in fund balances because of the cumulative effect of transactions such as those described above.

CITY OF FALLS CITY, NEBRASKA
COMBINING STATEMENT OF REVENUES, EXPENDITURES AND CHANGES
IN FUND BALANCES – NON-MAJOR GOVERNMENTAL FUNDS
30-Sep-22

	Steele Trust Cemetery	Library Project	Unemployment	Total 2022
Revenues:				
Intergovernmental/Grants	-	-	-	-
Local	12,277	-	-	12,277
Total Revenues	12,277	-	-	12,277
Total Expenditures	-	-	-	270,583
Excess (deficiency) of revenues over expenditures	12,277	-	-	(258,306)
Other Financing Sources				
Interest Income	569	26	150	745
Net change in fund balance	12,846	26	150	13,022
Fund balance at beginning of year	359,991	44,707	128,685	533,383
Fund balance at end of year	$ 372,837	$ 44,733	$ 128,835	$ 546,405